

INSURANCE AND PENSIONS COMMISSION



LIFE REPORT FOR LIFE ASSURERS

FOR THE QUARTER ENDED 31 MARCH 2016

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPW	Net Premium Written
GPI	Gross Premium Income
Mgt	Management
IPEC/Commission	Insurance and Pension Commission
Mar 15	March 2015
Mar 16	March 2016
Ann	Annuities
Term	Term Assurance
Endow	endowment
Pure End	Pure Endowment
Whole Lif	Whole Life
Fund	Pension fund business

NOTE: ALL MONETARY FIGURES ARE IN USD

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2.0 Industry Overview

This report reviews statistics in respect of 12 direct insurers and 3 reinsurance companies. The industry wrote \$88 million (March 2015: \$75million) in net premiums. Fuelled by claims, total costs at \$67million, grew by 27% from \$53million reported last year. Consequently, technical profits reduced from \$22million to \$20million as at the reporting date. The industry realised a combined ratio of 76% (March 2015: 70%) in line with the increased expenditure outflows.

For the quarter under review, total assets were \$1,534billion down from \$1.604 billion, a 4% decline from the same period last year. Total liabilities amounted to \$1,245billion (March 2015: \$1.329) billion resulting in \$289 million in free capital (March 2015: \$329 million). Following engagements with the life insurance players, the industry was fully compliant with the prescribed asset ratio as at the reporting date (See Table 1, below).

Table 1: Financial Performance Indicators for Life Companies for the quarter ended 31 March 2016

Item	Life Assurers			Life Re-assurers			TOTALS		
	March 2015	March 2016	Growth	March 2015	March 2016	Growth	March 2015	March 2016	Growth
GPW (\$000)	74,470	87,650	18%	2,138	1,812	-15%	76,608	89,462	17%
NPW (\$000)	73,116	86,137	18%	1,863	1,444	-22%	74,979	87,581	17%
Total Net Claims (\$000)	32,807	46,295	41%	773	1,001	29%	33,580	47,296	41%
Mgt Expenses (\$000)	13,942	15,065	8%	215	293	36%	14,157	15,358	8%
Commissions (\$000)	4,484	3,828	-15%	409	357	-13%	4,893	4,185	-14%
Total Costs (\$000)	51,233	65,188	27%	1,589	1,651	4%	52,822	66,839	27%
Technical Profit	21,883	20,949	-4%	274	(213)	(178%)	22,157	20,736	-6%
Expense Ratio (%)	25%	22%	-3%	33%	45%	12%	25%	22%	3%
Claims Ratio	45%	54%	9%	41%	69%	18%	45%	54%	9%
Combined Ratio	70%	76%	6%	85%	114%	29%	70%	76%	6%
Total Assets (\$000)	1,590,543	1,499,742	-6%	13,534	34,742	157%	1,604,077	1,534,484	-4%
Current Assets	357,499	337,499	-6%	4,801	20,514	327%	362,300	358,013	-1%
Current Liabilities	117,811	102,283	-13%	1,787	10,270	488%	119,598	112,553	-6%
Total Liabilities (\$000)	1,322,770	1,229,838	-7%	6,675	15,576	133%	1,329,445	1,245,414	-6%
Free Capital (\$000)	322,018	270,171	-16%	6,859	19,166	179%	328,877	289,337	-12%
Liquidity/Current Ratio	33	330%	297%	269%	200%	691%	303%	318%	15%
Capital to liability Ratio	24%	22%	-2%	103	123%	20%	25%	23%	-2%
Prescribed Asset Ratio	4%	13%	10%	4%	6%	2%	4%	13%	9%

SECTION A: LIFE ASSURANCE COMPANIES

3.0 Update on Number of Operational Institutions

This report covers 12 insurance companies.

4.0 Net Premiums Written

For the current reporting period, life companies wrote \$86 million in net written premiums reflecting an 18% growth from \$73million realized last year (see Table2, below).

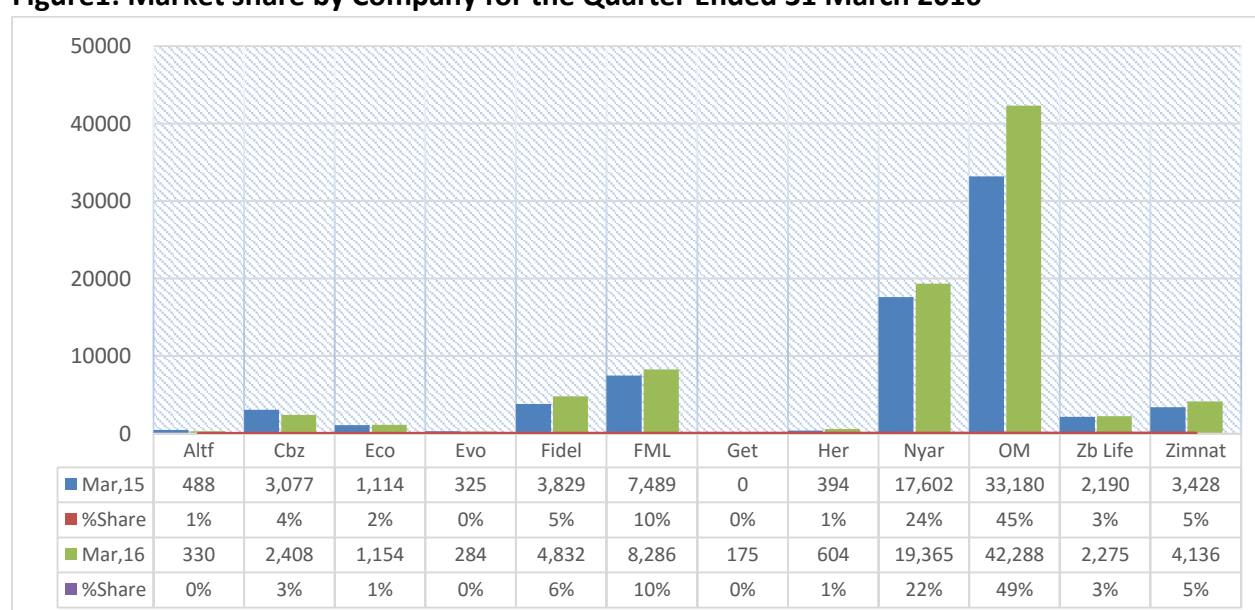
Table 2: Net Written Premium Distribution by Company for the quarter ended 31 March 2016

Company	NPW (USD 000)		
	Mar 2015	Mar 2016	Growth
Altfin	488	330	-32%
Cbz	3,077	2,408	-22%
Econet	1,114	1,154	4%
Evolution	325	284	-13%
Fidelity	3,829	4,832	26%
FML	7,489	8,286	11%
Getsure	0	175	0%
Heritage	394	604	53%
Nyaradzo	17,602	19,365	10%
Old Mutual	33,180	42,288	27%
Zb Life	2,190	2,275	4%
Zimnat	3,428	4,136	21%
TOTAL	73,116	86,137	18%

5.0 Market Share for Life Assurance Companies

For the quarter ended 31 March 2016, 81% or \$70 million of Net Premium Written was attributable to the top three companies (March 2015:79% or \$58 million). This shows that the life market is highly concentrated. (See Table 2 above and Figure1 below).

Figure1: Market share by Company for the Quarter Ended 31 March 2016



6.0 Business Composition

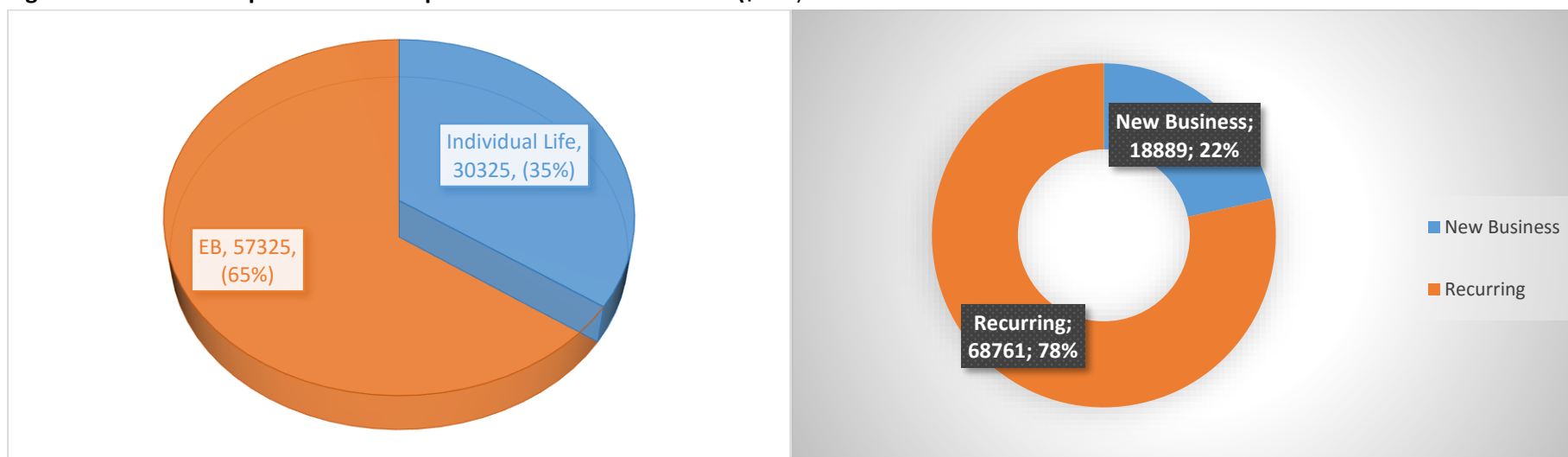
For the current review period, life companies realised \$88 million in gross premiums (March 2015: \$74million). For the current period, \$69million or 78% was made up of recurring business (March 2015: 90%or \$67million) whilst the balance of \$19 million or 22% was new business (March 2015:10% or \$8million). This shows that players' efforts in securing new business streams are growing.

Employee benefits contributed 65% or \$75 million of the business (March 2015:60% or \$45million) and the balance was individual lines. The pre-dominance of corporate business continues, a signal of constrained disposable incomes which curtailed demand for other insurance products (see Table 3 and Figure 1 below).

Table 3: Business Composition by Company for the year ended 31 March 2016

Co. Name	Individual Life (\$000)						Employee Benefits/GLA (\$000)						Total Gross Premiums Written (\$000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Mar-15	Mar-16	Growth (%)	Mar-15	Mar-16	Growth (%)	Mar-15	Mar-16	Growth (%)	Mar-15	Mar-16	Growth (%)	Mar-15	Mar-16	Growth (%)
Altfin	388	0	7%	0	0	0%	0	0	0%	159	330	108%	547	330	-40%
CBZ Life	74	39	-47%	1,962	1,708	-13%	719	0	-100%	404	942	133%	3,159	2,689	-15%
Econet	1,209	99	-92%	0	1,042	0%	0	0	0%	0	91	0%	1,209	1,232	2%
Evolution	52	39	-25%	273	246	-10%	0	0	0%	0	0	0%	325	285	-12%
Fidelity	2,141	1,146	-46%	1,812	0	0%	0	0	0%	0	3,801	0%	3,953	4,947	25%
FML	154	147	-5%	3,928	4,015	2%	1,304	1	-100%	2,191	4,222	93%	7,577	8,385	11%
Getsure	0	93	0%	0	48	0%	0	6	0%	0	29	0%	0	176	0%
Heritage	22	30	36%	280	569	103%	0	0	0%	101	9	-91%	403	608	51%
Nyaradzo	329	250	-24%	12,069	13,463	12%	43	10	-77%	5,163	5,642	9%	17,604	19,365	10%
O. Mutual	379	1,053	178%	3,230	3,659	13%	173	14,842	8479%	30,024	23,314	-22%	33,806	42,868	27%
Zb Life	399	459	15%	517	731	41%	110	0	-100%	1,259	1,185	-6%	2,285	2,375	4%
Zimnat	174	195	12%	571	1,274	123%	62	480	674%	2,795	2,441	-13%	3,602	4,390	22%
TOTAL	5,321	3,550	-33%	24,642	26,775	9%	2,411	15,339	536%	42,096	42,006	0%	74,470	87,650	18%

Figure 2: Business Composition for the quarter ended 31 March 2016 (\$000)



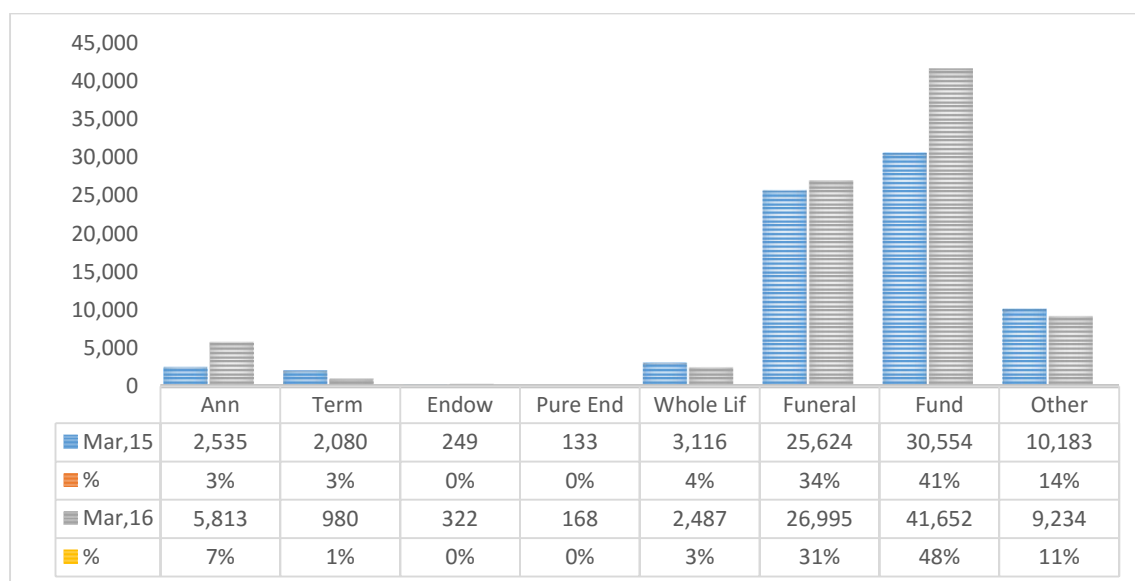
5.2 Business Composition by Class

Gross written premium was mainly drawn from the following products: Fund business - \$42million or 48% (March 2015: \$31million or 41%), group life assurance policies-\$9million 11% (March 2015: \$10million or 14%) and funeral cover-\$27million or 31% (March 2015: \$26million or 34%). These product lines contributed 90% of gross written business. We continue to encourage the industry to compete on product innovation heavily geared towards micro-insurance (See Table 4, below).

Table 4: Gross Premium Written by Class for the quarter ended 31 March 2016(\$000)

Co.	Annuities			Term Assurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			OTHER/GLA			Total		
	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-15	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%
Altfin	259	0	0	110	0	0	0	0	0	0	0	0	19	30	58	0	0	0	0	300	0	159	0	-100	547	330	-40
CBZ	0	1,185	0	1,408	8	-99	3	0	-100	0	0	0	0	33	0	1,748	1,463	-16	0	0	0	0	0	0	3,159	2,689	-15
Econet	0	0	0	0	0	0	0	0	0	0	0	0	0	91	0	1,209	1,141	-6	0	0	0	0	0	0	1,209	1,232	2
Evolution	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	325	285	-12	0	0	0	0	0	0	325	285	-12
Fidelity	33	21	-36	18	39	117	146	66	-55	64	47	-27	55	87	58	634	544	-14	1,128	3,894	245	1,875	249	-87	3,953	4,947	25
FML	1,109	2,391	116	470	825	76	56	73	30	0	0	0	203	221	9	2,181	1,790	-18	1,330	1,685	27	2,224	1,401	-37	7,577	8,385	11
Getsure	0	0	0	0	0	0	0	0	0	0	0	0	0	156	0	0	20	0	0	0	0	0	0	0	176	0	
Heritage	3	8	167	0	0	0	2	0	-100	28	17	-39	0	1	0	270	567	110	100	5	-95	0	10	0	403	608	51
Nyaradzo	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	17,604	19,365	10	0	0	0	0	0	0	17,604	19,365	10
OM	1,059	2,182	106	0	0	0	0	0	0	0	0	0	1,464	1,589	9	1,087	1,067	-2	25,536	32,398	27	4,660	5,632	21	33,806	42,868	27
Zb	25	26	4	11	14	27	42	183	336	41	104	154	1,259	8	-99	0	125	0	739	1,915	159	0	0	0	2,285	2,375	4
Zimnat	47	0	-100	63	94	49	0	0	0	0	0	0	116	271	134	566	628	11	1,721	1,455	-15	1,265	1,942	54	3,602	4,390	-4
Total	2,535	5,813	129	2,080	980	-53	249	322	29	133	168	26	3,116	2,487	-20	25,624	26,995	5	30,554	41,652	36	10,183	9,234	-9	74,474	87,651	18

Figure 3: Gross Written Premium by Product Class by Company for the quarter ended 31 March 2016



5.2.1 Not-taken Up and Lapsed Policies

The industry reported that total policies that were not-taken up amounted to \$110 000. Lapse ratios were as high as 51% and mainly related to individual lines business. High lapse ratios are a sign of mis-selling practices which is punishable at law. The Commission is coming up with practice notes for players to address such anomalies (see Table 5, below).

Table 5: Lapses and Not-Taken Up Policies by Company

Co. Name	Not taken up policies (000)		Lapse Ratios (%)	
	Individual	Group Business	Individual	Group Business
Altfin	-	-	-	--
CBZ Life	0	0	8%	0
Econet	22	0	0	0
Evolution	0	0	0	0
Fidelity	0	0	0	0
FML	1	0	36	0
Getsure	0	0	0	0
Heritage	0	0	0	0
Nyaradzo	0	0	0	0
O Mutual	2	0	6	0
Zb Life	6	0	6	0
Zimnat	8	0	8	9
TOTAL	38	0	-	-

7.0 Claims Analysis

For the period under review, life companies paid \$46million in net claims (March 2015: \$33million). Total claims expenditure grew by 41% against the net premium growth rate of 18% reflecting an unfavourable imbalance given the challenging investment environment. The major claim types were surrenders, maturity and death (See Table 6 below and Table 2, above).

Table 6: Claims Categories by Company for the quarter ended 31 March 2016(\$000)

Co. Name	Death			Maturity			Disability			Surrenders			Annuities			Reinsurance			Total Net Claims		
	Mar,15	Mar,16	(%)	Mar,15	Mar,16	(%)	Mar,15	Mar,16	(%)	Mar,15	Mar,16	(%)	Mar,15	Mar,16	(%)	Mar,15	Mar,16	(%)	Mar,15	Mar,16	(%)
Altfin	48	0	%	33	0	0	0	0	0	26	0	0	0	0	0	0	0	0	285	13	-95
CBZ Life	350	932	166	57	0	0	0	128	0	160	0	-100	0	0	0	0	81	0	567	979	73
Econet	445	484	9	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	67	484	622
Evolution	6	21	250	15	0	0	0	0	0	0	0	0	0	0	0	0	0	0	21	21	0
Fidelity	270	159	-41	0	340	0	0	0	0	323	75	-77	48	116	142	14	0	-100	627	691	10
FML	868	979	13	697	1,117	60	0	0	0	556	1,766	218	420	547	30	0	1	0	2,540	4,408	74
Getsure	0	2	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	2	0
Heritage	24	106	342	0	0	0	0	0	0	32	10	-69	4	10	150	0	0	0	60	126	110
Nyaradzo	6,743	4,634	-31	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	6,743	4,634	-31
O. Mutual	2,111	4,895	132	5,704	12,625	121	55	22	-60	8,706	10,864	25	3,293	3,705	13	114	397	248	19,755	31,714	61
ZB Life	324	598	85	25	41	64	0	0	0	379	441	16	40	0	-100	5	14	180	763	1,066	40
Zimnat	664	543	-18	718	1,593	122	0	0	0	18	39	117	0	0	0	22	17	-23	1,379	2,157	56
Total	11,853	13,353	13	7,249	15,715	117	55	150	173	10,200	13,195	29	3,805	4,378	15	155	510	229	32,807	46,295	41

7.0 Claims Aged Analysis

For the period under review, outstanding claims were \$3million with 50% of the claims aged more than 31days. Prompt payment of claims is not only a competitive tool but also a requirement in terms of the law, failure of which IPEC may apply penalties in terms of the law (See Table 7 and Figure 4, below)

Table 7: Claims Aged Analysis by Company for the quarter ended 31 March 2016(\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	-	-	-	-	12	12
CBZ Life	25	0	0	9	2	36
Econet	478	0	0	0	0	478
Evolution	3	2	1	0	0	6
Fidelity	325	35	4	0	0	364
FML	287	79	102	53	822	1,343
Getsure	5	0	0	0	0	5
Heritage	0	0	0	0	0	0
Nyaradzo	0	0	0	0	0	0
O. Mutual	559	0	0	0	0	559
Zb Life	42	58	85	12	448	645
Zimnat	0	0	0	0	0	0
Total	1,724	174	192	74	1,284	3,448

8.0 Debtors Aged Analysis

The life players reported a debtors book worth \$5million out of gross premium written of \$88million, implying that the premium collection rate was 94% which is deemed reasonable in view of the challenging liquidity environment prevailing currently (see Table 8, below).

Table 8: Debtors Aged Analysis by Company for the quarter ended 31 March 2016(\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 plus days	Total
Altfin	-	-	8	-	-	8
CBZ Life	278	161	39	30	0	508
Econet	0	0	0	0	0	0
Evolution	23	17	22	23	407	492
Fidelity	242	114	93	0	2,768	3,217
FML	53	172	314	0	0	540
Getsure	0	0	0	0	0	0
Heritage	192	88	47	165	0	492
Nyaradzo	0	0	0	0	0	0
O. Mutual	120	2	0	803	34	0
Zb Life	0	0	0	0	0	0
Zimnat	0	0	0	0	0	0
Total	908	554	523	1,021	3,209	5,257

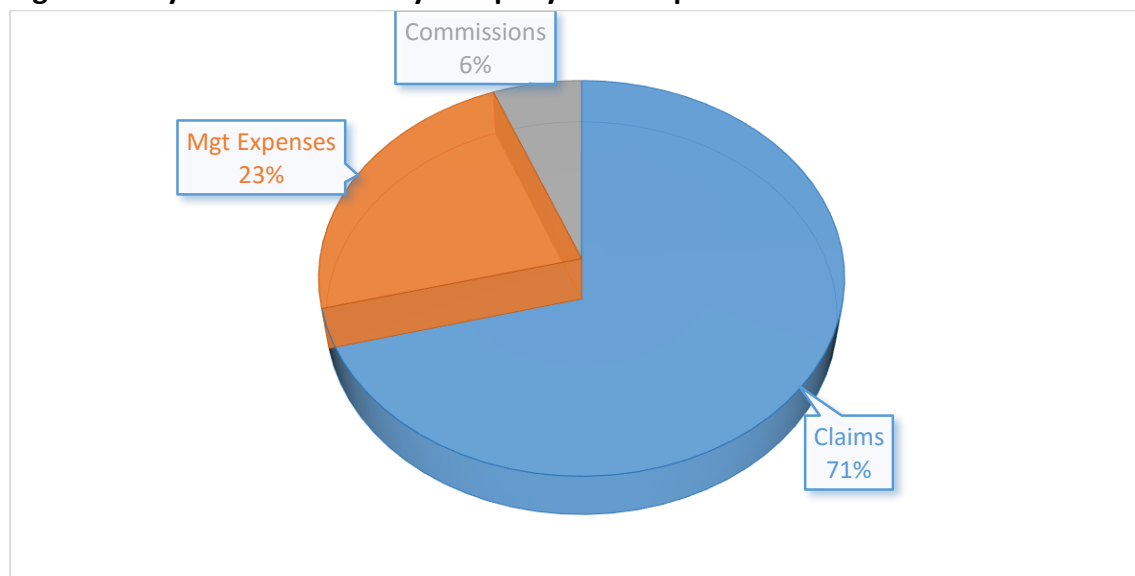
9.0 Earnings

For the quarter ended 31 March 2016 ,management costs accounted for 23% or \$15million of total costs(March 2015:27% or \$14million), claims-71% or \$46million (March 2015: 64% or \$33million) whilst the commission bill was 6% or \$4million (March 2015:9% or \$4million).Consequently, the industry realised a 76% combined ratio (March 2015:70%).In the light of challenging investment climate ,the Commission continues to encourage prudent cost cutting measures on the part of players (See Table 9 and figure 5,below).

Table 9: Key Income and Cost Indicators By Company for the quarter ended 31 March 2016(\$000)

Co.	NPW (\$000)		Claims (\$000)			Commissions (\$000)			Management Expenses (\$000)			Total Costs (\$000)			Combined Ratio		
	Mar 15	Mar 16	Mar 15	Mar 16	Growth	Mar 15	Mar 16	Growth	Mar 15	Mar 16	Growth	Mar 15	Mar 16	Growth	Mar 15	Mar 16	%
Altfin	488	330	285	13	-95%	295	0	-100%	41	40	-2%	621	53	-91%	127%	16%	111%
CBZ Life	3,077	2,408	567	979	73%	820	280	-66%	394	715	81%	1,781	1,974	11%	58%	82%	24%
Econet	1,114	1,154	67	484	622%	0	13	0%	445	430	-3%	512	927	81%	46%	80%	34%
Evolution	325	284	21	21	0%	245	50	-80%	49	169	245%	315	240	-24%	97%	85%	12%
Fidelity	3,829	4,832	627	691	10%	49	116	137%	1,322	1,402	6%	1,998	2,209	11%	52%	46%	-6%
FML	7,489	8,286	2,540	4,408	74%	436	406	-7%	3,536	3,442	-3%	6,512	8,256	27%	87%	100%	13%
Getsure	0	175	0	2	0%	0	29	0%	0	141	0%	0	172	0%	0	98%	0
Heritage	394	604	60	126	110%	62	44	-29%	269	321	19%	391	491	26%	99%	81%	-18%
Nyaradzo	17,602	19,365	6,743	4,634	-31%	1,412	1,637	16%	2,640	2,905	10%	10,795	9,176	-15%	61%	47%	14%
O Mutual	33,180	42,288	19,755	31,714	61%	546	550	1%	3,735	3,746	0%	24,036	36,010	50%	72%	85%	13%
Zb Life	2,190	2,275	763	1,066	40%	333	360	8%	662	780	18%	1,758	2,206	25%	80%	97%	17%
Zimnat	3,428	4,136	1,379	2,157	56%	286	343	20%	849	974	15%	2,514	3,474	38%	73%	84%	11%
Total	73,116	86,137	32,807	46,295	41%	4,484	3,828	-15%	13,942	15,065	8%	51,233	65,188	27%	70%	76%	6%

Figure 4: Key Cost Indicators By Company for the quarter ended 31 March 2016



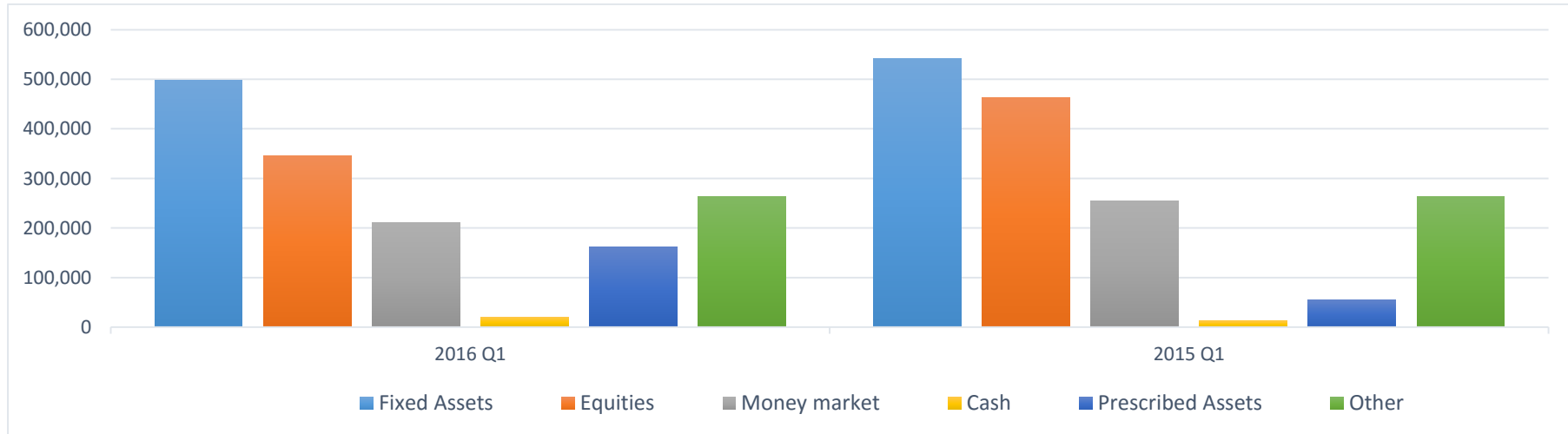
10. Asset Quality

As at 31 March 2016 , assets for life companies were : property-33% or \$498million(March 2015:34% or \$541million),equities-\$346 million or 23% (March 2015:29% or \$462million),money market-\$211million or 14% (March 2015:16% or \$255million), cash assets-\$21 million or 1% (March 2015:1% or \$13million) , other assets -\$263million or 18%(March 2015:17% or \$264million) and \$161million or 11% on prescribed assets .The industry must observe actuarial guidelines from IPEC as well as those from their own actuaries to maintain the right asset liability mix (See Table 10 and Figure 6,below)

Table 10: Life industry Assets for the year for the quarter ended 31 March 2016(\$000)

Co. Name	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)		
	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-16	Mar-16	%	Mar-15	Mar-16	%
Altfin	2,606	2600	0	2,290	1290	-44	2,228	1,100	-51	83	34	-59	1,104	1,100	0	704	0	-100	9,015	6,124	-32
CBZ Life	296	265	-10	0	0	0	9,680	12,589	30	448	593	32	1,191	1,812	52	1,211	2,732	126	12,826	17,991	40
Econet	429	0	-100	0	0	0	3,293	1,526	-54	0	1,328	0	0	1,608	0	0	1,598	0	3,722	6,060	63
Evolution	1,461	302	-79	0	1,656	0	185	172	-7	0	2	0	1,598	1,124	-30	100	100	0	3,344	3,356	0
Fidelity	23,833	19,195	-19	5,867	26,734	356	10,920	2,940	-73	505	667	32	24,703	42,014	70	13,523	4,475	-67	79,351	96,025	21
FML	13,747	13,130	-4	17,793	25,202	42	9,545	8,718	-9	2,217	3,798	71	141,504	130,446	-8	5,722	5,811	2	190,528	187,105	-2
Getsure	0	0	0	0	0	0	0	1,360	0	0	206	0	0	641	0		0	0	0	2,207	0
Heritage	796	727	-9	1,282	1,273	-1	7	7	0	23	28	22	642	1,787	178	0	0	0	2,750	3,822	39
Nyaradzo	31,065	33,299	7	156	645	313	8,770	17,569	100	2,729	4,825	77	13,471	18,325	36	3,502	9,763	179	59,693	84,426	41
O Mutual	446,432	404,765	-9	415,477	271,495	-35	189,712	144,874	-24	6,136	7,642	25	43,646	28,264	-35	27,155	130,123	379	1,128,558	987,162	-13
Zb Life	3,381	2,950	-13	6,900	6,322	-8	2,873	2,828	-2	181	176	-3	33,076	31,429	-5	1,178	2,817	139	47,589	46,522	-2
Zimnat	16,850	20,290	20	12,600	11,590	-8	17,559	17,087	-3	423	1,396	230	3,327	4,798	44	2,408	3,780	57	53,167	58,941	11
Total	540,896	497,523	-8	462,365	346,207	-25	254,772	210,770	-17	12,745	20,695	6	264,262	263,348	0	55,503	161,199	190	1,590,543	1,499,742	-6

Figure 5: Life industry Assets for the quarter ended 31 March 2016



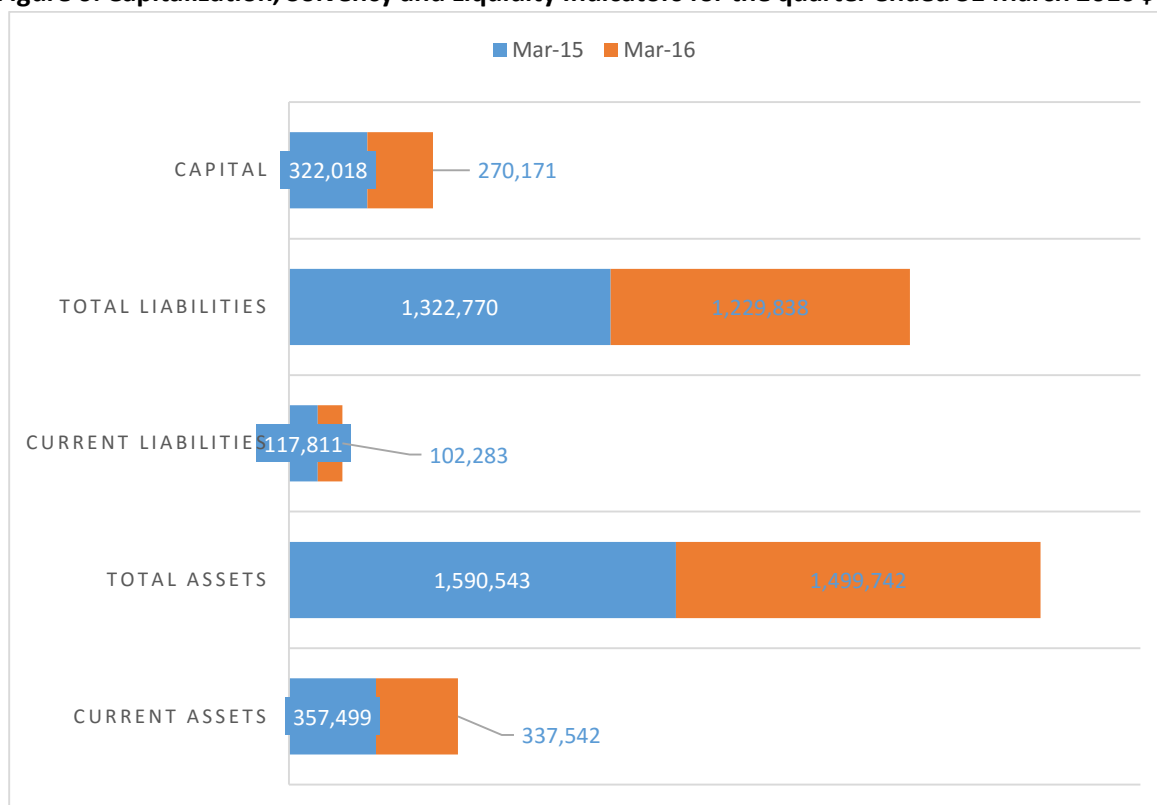
11. Capitalization, Solvency and Liquidity Indicators

Except for two players, the life insurers were adequately capitalized as prescribed by Statutory Instrument 21 of 2013.” Care and maintenance” measures continue to be applied especially to Altfin Life to protect policyholder values and interest. The industry reported combined capital to liability and liquidity ratios of 22% and 330% respectively (SeeTable11 and Figure 7, below).

Table 11: Capitalization, Solvency and Liquidity Indicators for the quarter ended 31 March 2016 (\$000)

Co.	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital/liability Ratio (%)			Current Ratio (%)		
	Mar 15	Mar 16	%	Mar 15	Mar 16	%	Mar 15	Mar 16	Mar 15	Mar 16	%	Mar 15	Mar 16	%	Mar 15	Mar 16	%	Mar 15	Mar 16	%
Altfin	3,930	2,930	-25	7,827	6,928	-11	9,015	6,124	8,831	6,313	-29	183	99	-46	2%	2%	-	199%	42%	157
CBZ Life	12,075	17,135	42	2,079	3,424	65	12,826	17,991	3,066	4,829	58	9,761	13,162	35	318%	273%	-45	17%	500%	483
Econet	3,293	3,308	0	1,571	2,448	56	3,722	6,060	1,571	2,448	56	2,151	3,612	68	137%	148%	11	48%	135%	87
Evolution	1,492	1,017	-32	946	538	-43	3,344	3,356	946	538	-43	2,397	2,817	18	253%	524%	271	63%	189%	126
Fidelity	48,868	30,496	-38	14,491	14,962	3	79,351	96,025	60,098	79,781	33	19,288	16,244	-16	32%	20%	-12	30%	204%	174
FML	19,882	19,121	-4	19,934	17,602	-12	190,528	187,105	120,761	117,423	-3	69,766	69,682	0	58%	59%	1	100%	109%	9
Getsure	0	2,037	0	0	315	0		2,207	0	315	0	0	1,892	0	0	601%	-	0	647%	0
Heritage	473	1,635	246	374	1,112	197	2,750	3,822	551	1,261	129	2,199	2,561	16	399%	203%	-196	79%	147%	68
Nyaradzo	27,683	50,482	82	5,360	6,838	28	59,693	84,426	54,603	75,004	37	59,693	9,423	-84	109%	13%	-13	19%	738%	719
O.Mutual	222,714	190,914	-14	61,062	42,853	-30	1,128,558	987,162	1,002,936	869,633	-13	125,622	117,530	-6	13%	14%	1	27%	446%	419
ZB Life	3,597	3,558	1	1,730	2,383	38	47,589	46,522	31,119	30,887	-1	16,469	15,634	-5	53%	51%	-2	48%	149%	101
Zimnat	13,492	14,909	11	2,437	2,880	18	53,167	58,941	38,288	41,406	8	14,489	17,535	21	38%	42%	4	18%	518%	500
Total	357,499	337,542	-6	117,811	102,283	-13	1,590,543	1,499,742	1,322,770	1,229,838	-7	322,018	270,171	-16	24%	22%	-2	33%	330%	297

Figure 6: Capitalization, Solvency and Liquidity Indicators for the quarter ended 31 March 2016 \$'000



12. Reinsurance

The Commission continues to encourage players to reinsure risk business which is in excess of their capacity or scope of cover. Reinsurance must be recognised as a prudent risk sharing mechanism by the industry rather than an optional risk management measure especially given our current challenging operational as well as investment environment.

SECTION B: REASSURANCE COMPANIES

1.0 Update on Number of Operational Institutions

The report is based on 3 reinsurers.

2.0 Business Written

Table1 below, shows that reinsurers wrote \$1.4million in Net Written Premiums (March2015: \$1,86million). This translated into a negative 22% growth from the comparative quarter last year despite FBC Re coming on board by opening a life reinsurance division. This could be attributable to limited local growth opportunities and increased capacity to retain risks on their balance sheets.

Table1: Key Performance Indicators for the quarter ended 31 March 2016 (\$000)

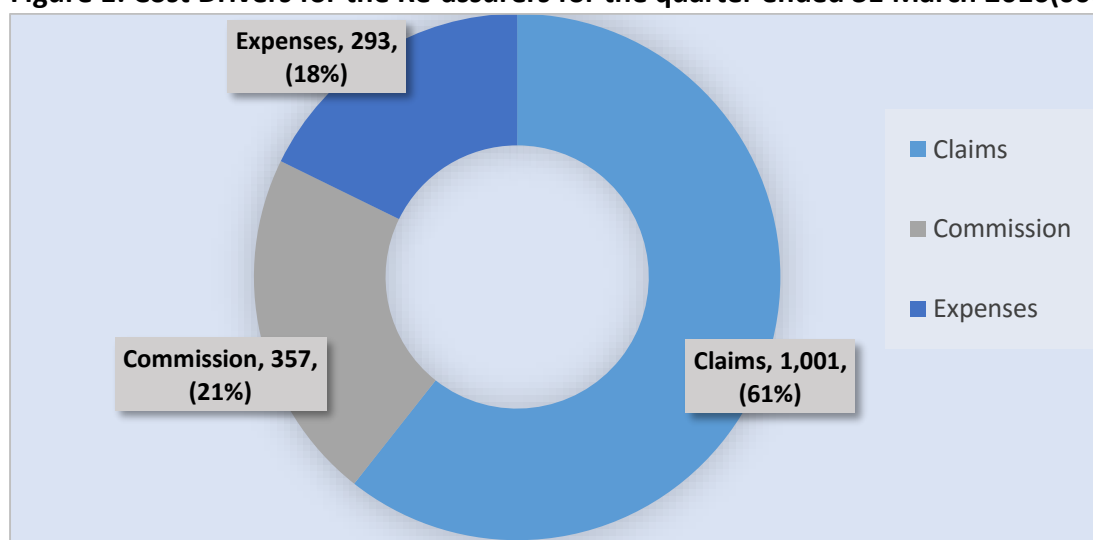
Item	Baobab Re			FM Re			FBC Re			Total		
	Mar15	Mar16	%	Mar 15	Mar 15	%	Mar 15	Mar 15	%	Mar 15	Mar 16	%
Gross Premium Written	1,293	826	-36%	845	806	-5%	0	180	0	2,138	1,812	-15%
Net Premium Written	1,191	734	-38%	672	668	-1%	0	42	0	1,863	1,444	-22%
Net Claims Incurred	213	638	200%	560	363	-35%	0	0	0	773	1,001	29%
Net Commission Incurred	246	151	-39%	163	171	5%	0	35	0	409	357	-13%
Management Expenses	193	162	-16%	214	131	-39%	0	0	0	215	293	36%
Total Costs	652	951	46%	937	665	-29%	0	35	0	1,589	1,651	4%
Underwriting Profit	539	(217)	-140%	(265)	(3)	-99%	0	7	0	274	-213	-178%
Combined Ratio	55%	130%	75%	111	100%	-11%	0	83%	0	85%	114%	29%

3.0 Earnings

Total costs grew by 4% on prior year from \$1.59 million to \$1.65 million whilst net premium written declined by 22%. Consequently, reinsurers made an underwriting loss of \$213 000 and a combined ratio of 114%.

The cost distribution was made up of Claims-\$1million or 61% (March 2015:55% or \$773 000), Commission -\$357 000 or 21% (March 2015:29% or \$409 000) and management expenses-\$293 000 or 18%(March 2015:16% or \$215 000) (See Table 1 and Figure 1 below).

Figure 1: Cost Drivers for the Re-assurers for the quarter ended 31 March 2016(000)



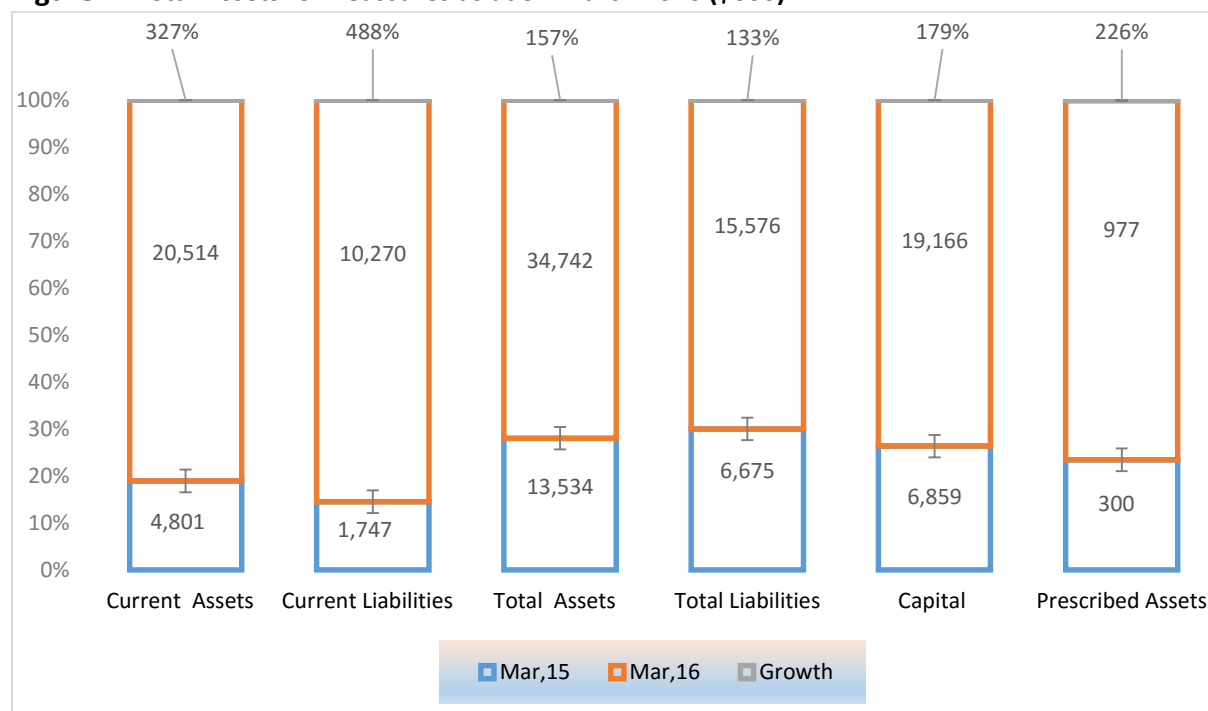
4.0 Capitalization and Solvency Indicators

For the period under review, FML Life and Health was undercapitalised. However, they have since merged with First Mutual Property and Casualty to form First Mutual Reinsurance Company Limited. Players reported a current ratio of 200% and a capital to liability ratio of 123% reflecting excess capacity to meet current obligations on demand (See Table 2, below).

Table 2: Capitalisation, Solvency and Liquidity Indicators as at 31 March 2016 (\$000)

Item	Baobab Re			FM Re			FBC Re			Total		
	Mar 15	Mar 16	%	Mar 15	Mar 16	%	Mar 15	Mar 15	%	Mar 15	Mar 16	%
Current Assets	3,419	3,749	10%	1,382	1,330	-4%	0	15,435	0	4,801	20,514	327%
Current Liabilities	842	863	2%	905	780	-14%	0	8,627	0	1,747	10,270	488%
Total Assets	11,468	11,865	3%	2,066	1,966	-5%	0	20,911	0	13,534	34,742	157%
Total Liabilities	5,473	6,032	10%	1,202	917	-24%	0	8,627	0	6,675	15,576	133%
Capital	5,995	5,833	-3%	864	1,049	21%	0	12,284	0	6,859	19,166	179%
Prescribed Assets	300	711	137%	0	266	0%	0	0	0	300	977	226%
Prescribed Asset Ratio	3%	0	0	0	0	0	0	0	0	0	0	0
Current Ratio	406%	434%	428%	153%	171%	18%	0	179%	0	269%	200%	69%
Capital to liability ratio	110%	97%	-13%	72%	114%	42%	0	142%	0	103%	123%	20%

Figure 2: Total Assets for Reassures as at 31 March 2016 (\$000)



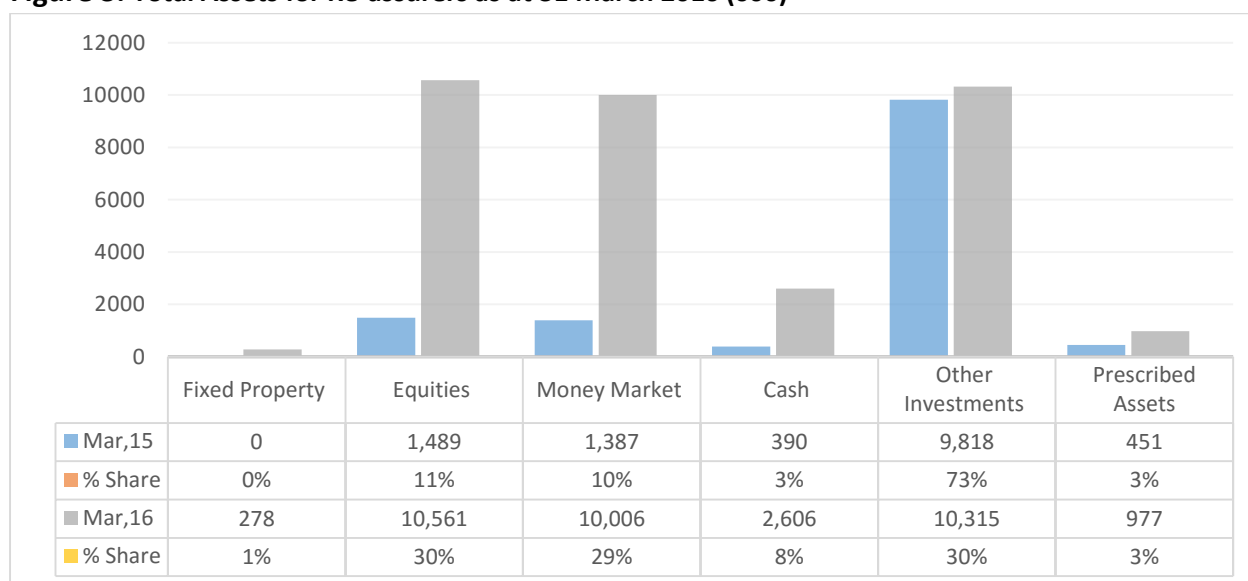
5.0 Asset Quality

As at 31 March 2016, reinsurers held assets as in the following instruments: equities-\$10.6 million or 30%(March 2015:11% or \$1.5million), money market, \$10million or 29% (March 2015:10% or \$1.4million), cash assets, \$2.6million or 8% (March 2015:3% or \$0.39 million), other assets -\$10.3 million or 30% (March 2015: 73% or \$9.8million) and \$0.99million or 3% were prescribed assets. (SeeTable3and Figure 2, below).

Table 3: Total Assets for Re-assurers as at 31 March 2016

Asset Type	Baobab Re			FM Re			FBC Re			Total		
	Mar 15	Mar 16	%	Mar 15	Mar 16	%	Mar 15	Mar 16	%	Mar 15	Mar 16	%
Fixed Property (000)	0	0	0	0	0	0	0	278	0	0	278	0
Equities (000)	849	8,825	939	640	634	-1	0	1,102	0	1,489	10,561	609
Money Market (000)	753	658	-13	634	747	18	0	8,601	0	1,387	10,006	621
Cash (000)	108	42	-61	282	54	-81	0	2,510	0	390	2,606	568
Other Investments (000)	9,459	1,630	-83	359	265	-26	0	8,420	0	9,818	10,315	5
Prescribed Assets (000)	300	711	137	151	266	76	0	0	0	451	977	117
Total Assets (000)	11,469	11,866	3	2,066	1,966	-5	0	20,911	0	13,535	34,743	157

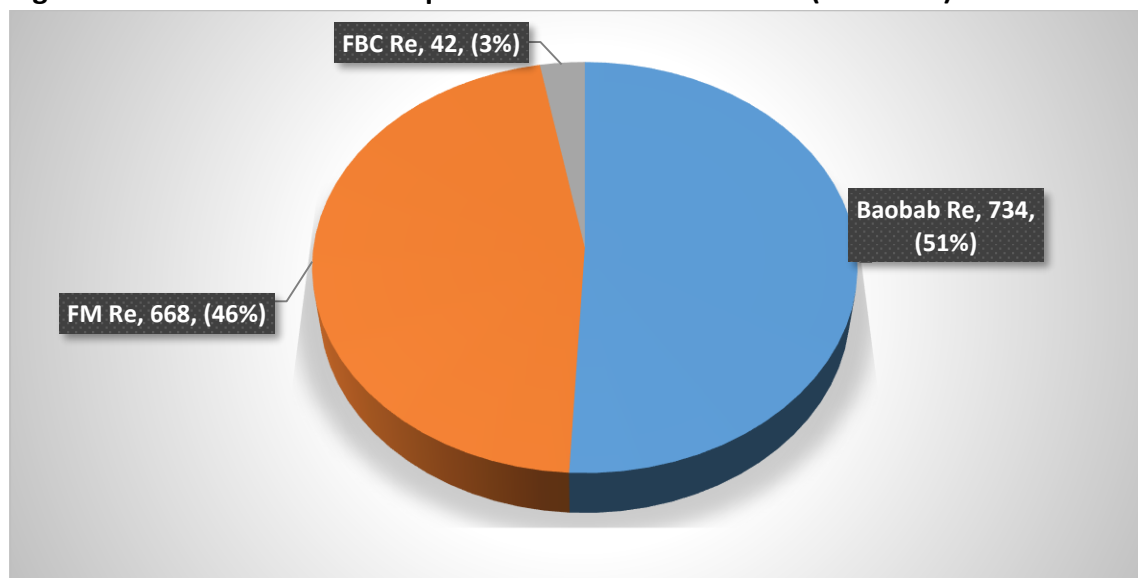
Figure 3: Total Assets for Re-assurers as at 31 March 2016 (000)



6.0 Market Share

As shown in Figure 3 below, Baobab Life wrote 51% or \$0.734 million of net written business whilst the balance was shared between FM Re Life and Health (46% or \$0.668million) and FBC Re (3% or \$0.42million) (See Figure 3, below). Reinsurers are encouraged to champion the introduction of new innovative products such as micro-insurance products using their international expertise and experiences.

Figure 4: Market share for the quarter ended 31 March 2016(NPW 000)



7.0 Prescribed Assets

The industry was fully compliant with prescribed asset requirement following industrywide engagements and imposition of fines. Players are encouraged to maintain and improve their compliancy levels in order to avert the risk of flouting Statutory Instrument 2 of 2016 as the prescribed paper matures.